

26CV00353 John W Hines vs Ricardo Guerrero et al

County: santa-barbara

Division: Civil Law & Motion

Department: 5 SB-Anacapa

Hearing date: 2026-08-10

Motion: Motion: Vacate re Default and Default Judgment

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Tentative Ruling: John W Hines vs Ricardo Guerrero et al

Case Number

26CV00353

Case Type

Civil Law & Motion

Hearing Date / Time

Mon, 08/10/2026 - 10:00

Nature of Proceedings

Motion: Vacate re Default and Default Judgment

Tentative Ruling

John W. Hines v. Ricardo Guerrero, et al.

Case No. 26CV00353

Hearing Date: August 10, 2026

HEARING: Motion by Defendants to Vacate Default and Default Judgment

ATTORNEYS: For Plaintiff John W. Hines: Steven A. Heath, Uyen N. Nguyen, Heath Steinbeck, LLP

For Defendants Ricardo Guerrero and RGII Consulting Group, LLC: Geoffrey A. Neri, Brown, Neri, Smith & Khan LLP

TENTATIVE RULING:

The motion of defendants Ricardo Guerrero and RGII Consulting Group, LLC, to vacate default and default judgment is granted. The default entered on February 26, 2026, and the default judgment entered on April 21, 2026, are hereby vacated.

Background:

On January 16, 2026, plaintiff John W. Hines (Hines) filed his complaint against defendants Ricardo Gurrero (Guerrero) and RG II Consulting Group, LLC (RG) (collectively, Guerrero and RG as Defendants), asserting one cause of action for breach of contract. As alleged in the complaint: On October 23, 2025, the parties entered into a settlement agreement wherein Defendants agreed to pay Hines \$707,450 by no later than December 31, 2025. (Compl., ¶ 7 & Ex. 1.) Defendants did not make the required payment, thereby breaching the agreement. (Compl., ¶ 11.)

On February 26, 2026, default was entered against Defendants. Entry of default was served on defendants by mail.

On March 18, 2026, Defendants' counsel of record filed a notice of appearance.

On April 16, 2026, Hines filed a request for default judgment and supporting papers pursuant to Code of Civil Procedure section 585, and served his default papers on Defendants' counsel of record by mail.

On April 21, 2026, judgment by default was entered against Defendants and in favor of Hines in the amount of \$719,373.

On June 23, 2026, Defendants filed a motion to vacate entry of default and default judgment. This motion seeks an order vacating and setting aside the default and the default judgment pursuant to Code of Civil Procedure section 473, subdivision (b), on the grounds of mandatory relief by mistake of counsel or, in the alternative, good cause justifying discretionary relief. This motion is opposed by Hines in part.

On July 28, 2026, Hines filed an opposition which did not oppose the motion to set aside and vacate the default judgment on the grounds of attorney mistake. However, Hines does oppose Defendants' request to set aside the entry of default on the basis that Defendants' counsel of record had not been formally retained at the time default was entered. Therefore, as argued by Hines, the circumstances resulting in entry of default against Defendants on February 26, 2026, were not based on mistake of counsel.

In reply, Hines agrees that while his current counsel of record had not been retained at the time of entry of default, discretionary relief is nonetheless warranted due to inadvertence and mistake. Defendants declare they reasonably believed prior counsel would take necessary actions pertaining to this lawsuit. (Declaration of Ricardo Guerrero, ¶¶ 3-6.) However, unbeknownst to Defendants, prior counsel did not take such necessary actions. (Ibid.) Then, upon learning of the default, Defendants promptly sought new legal representation. (Id. at ¶ 8.) On March 11, 2026, Defendants retained their current counsel of record. (Ibid.) Defendants state they did not avoid service or intentionally disregard this action. (Id. at ¶ 9.) Defendants argue under these circumstances, discretionary relief from the entry of default should be granted under Code of Civil Procedure section 473, subdivision (b).

Analysis:

“The court may, upon any terms as may be just, relieve a party or the party’s legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (Code Civ. Proc., § 473, subd. (b), italics added.)

However, “[n]otwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney’s sworn affidavit attesting to the attorney’s mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against the attorney’s client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against the attorney’s client, unless the court finds that the default or dismissal was not in fact caused by the attorney’s mistake, inadvertence, surprise, or neglect.” (Code Civ. Proc., § 473, subd. (b), italics added.)

As discussed, the parties do not dispute that mandatory relief based on attorney mistake under Code of Civil Procedure section 473, subdivision (b), should be granted to vacate the default judgment entered on April 21, 2026. The parties do dispute whether discretionary relief should be granted to vacate the entry of default on February 26, 2026. As discussed below, the court agrees with Defendants that the entry of default should also be vacated.

Code of Civil Procedure section 473(b) is “a remedial statute strongly favored by the courts and ‘liberally applied to carry out the policy of permitting a trial on the merits.’ [Citations.]” (Ramsey Trucking Co. v. Mitchell (1961) 188 Cal.App.2d Supp. 862, 865.) “[B]ecause the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (Maynard v. Brandon (2005) 36 Cal.4th 364, 371–372.) “[Code of Civil Procedure] section 473 is often applied liberally where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted. [Citations.] In such situations ‘very slight evidence will be required to justify a court in setting aside the default.’ ” (Miller v. City of Hermosa Beach (1993) 13 Cal.App.4th 1118, 1136.)

Although there has been delays, the record does not establish undue prejudice to Hines, as the party opposing the motion to vacate default. Thus, the evidentiary burden on Defendants is not high. This action was filed on January 16, entry of default occurred on February 26, and the motion to vacate was filed on June 23. Defendants filed a declaration (albeit in reply) indicating that Defendants were relying on a prior counsel to address the issues in this lawsuit during the time that default was entered. (Declaration of Ricardo Guerrero, ¶¶ 3-9.) Given the totality of the circumstances, the court will grant the motion and set aside the default judgment and entry of default.

The court notes that no request for attorney fees by Hines, the opposing party, was made pursuant to Code of Civil Procedure section 473, subdivision (b), and the court’s ruling does not address that issue.

Judges

Judge Colleen Sterne

Dept. 5 SB-Anacapa

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